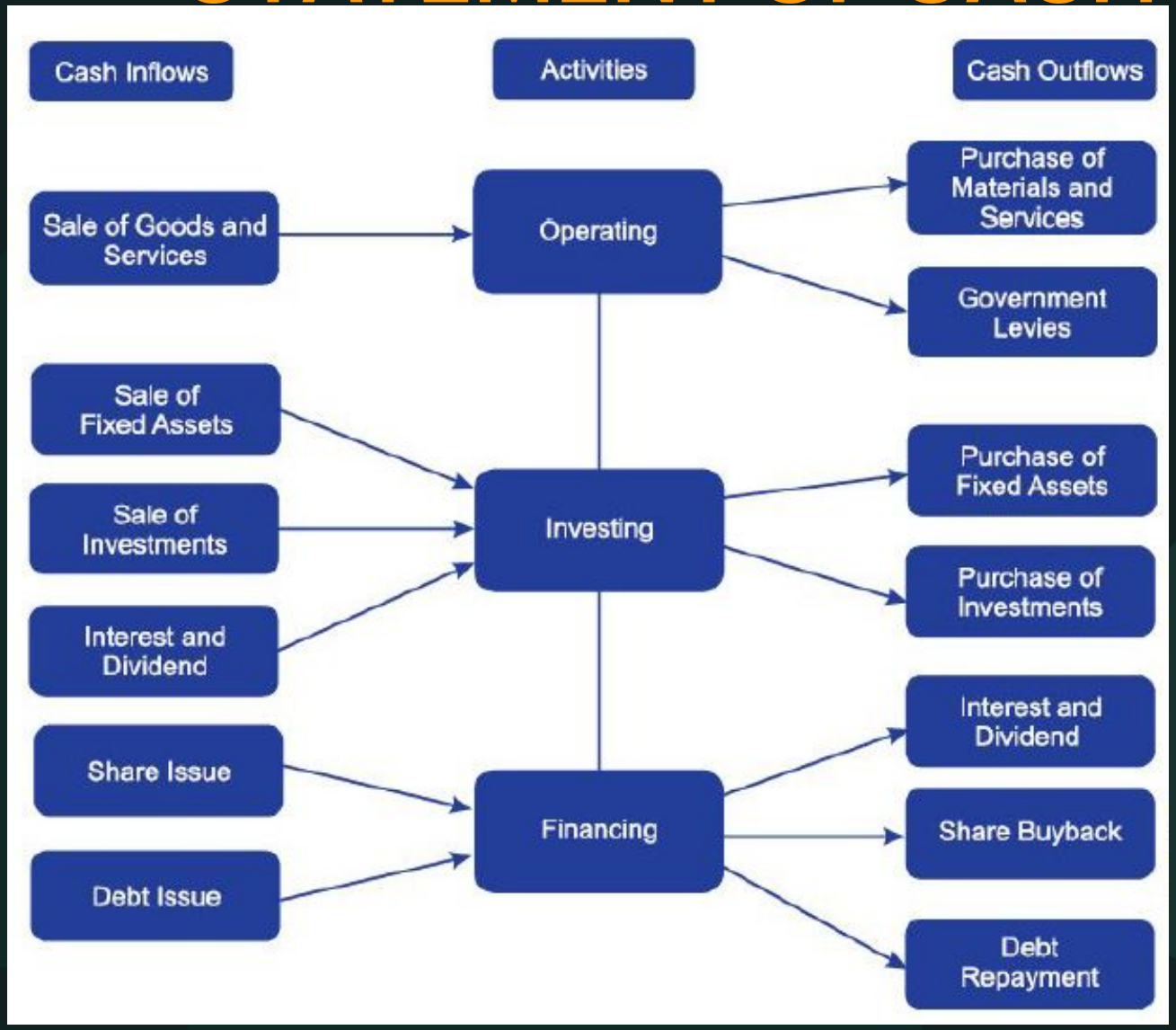
Chapter 4: SCF

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Mesa
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STATEMENT OF CASH FLOWS



"Investing section" combines Operational Investing (Fixed Assets, Operating Investments) and Financial Investing (Financial Investments). Ideally these 2 should have been shown separately.

Financial (or Non-Operating) Investing is essentially a cash management activity

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SCF (Direct Method)

COMPASS COMPANY
Cash Flows from Operating Activities – Direct Method
For the year ended March 31, 20X5

Cash flows from operating activities		
Cash received from customers	₹881,000	
Cash paid to suppliers and employees	(797,000)	
Cash generated from operations	84,000	
Income tax paid	(12,000)	
Net cash provided by operating activities		₹72,000
Cash flows from investing activities		
Purchase of property, plant and equipment	(173,000)	
Sale of property, plant and equipment	22,000	
Purchase of investments	(26,000)	
Sale of investments	42,000	
Interest received	7,000	
Net cash used in investing activities		(128,000)
Cash flows from financing activities		
Proceeds from issue of share	100,000	
Dividend paid	(25,000)	
Redemption of debentures	(27,000)	
Repayment of short-term loan	(1,000)	
Interest paid	(22,000)	
Net cash provided by financing activities		25,000
Net decrease in cash and cash equivalents		(31,000)
Cash and cash equivalents at beginning of period		51,000
Cash and cash equivalents at end of period		20,000

Schedule of non-cash investing and financing activities

1. The company purchased equipment for ₹49,000 on credit.
2. The company converted debentures of ₹50,000 into equity shares of ₹10 at par.

Accounting Policy

The company considers all highly liquid debt instruments purchased with a maturity of three months or less from the date of acquisition to be cash equivalents.

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SCF (Indirect Method)

COMPASS COMPANY
Cash Flows from Operating Activities – Indirect Method
For the year ended March 31, 20X5

Cash flows from operating activities			
Profit before tax		₹70,000	
Adjustments			
Depreciation	Non cash expense	98,000	
Bad debt expense	Non cash expense	12,000	
Gain on sale of equipment	Investing activity (income)	(6,000)	
Loss on sale of investments	Investing activity (expense)	9,000	
Interest expense	Financing activity (expense)	22,000	
Interest income	Investing activity (income)	(7,000)	
Operating profit before working capital changes	(~EBITDA)	198,000	
Increase in inventories	Asset increase	(58,000)	
Increase in trade receivables	Asset increase	(44,000)	
Decrease in prepaid expenses	Asset decrease	2,000	
Decrease in trade payables	Liability decrease	(14,000)	
Cash generated from operations		84,000	
Income tax paid		(12,000)	
Net cash provided by operating activities			₹72,000

- Investing and Financing sections same as Direct method
- Adjustments
  - Noncash items (expenses added back and incomes deducted)
  - Investing and Financing items reclassified
  - ΔWC and IT paid (because we started with PBT)

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CFO, CFI and CFF I INTERPRETATION

How will the 3 appear for*:

- Startups that are doing well
  - Introduction stage: CFO – , CFI – and CFF +
  - Growth stage: CFO +/-, CFI – and CFF +
- Mature companies that are doing well
  - CFO +, CFI – (low cos only maintenance capex, no growth capex) & CFF – (dividends, interest and loan repaid)
- Declining mature companies
  - CFO –, CFI + & CFF –

*consider only operational investing activities for CFI

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NOPAT and CFO I INVESTORS' PoV

CFO NOPAT*	POSITIVE	NEGATIVE
POSITIVE	1 Happy	2 Concerned
NEGATIVE	3 Concerned	4 Upset

*NOPAT = Net Operating Profit After Taxes = EBIT (1-t)

Will the concern be greater in 2 or 3?

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